Rifo

ESG Risk Management

RIFO SRL

Tax Code and VAT No.: 02426250979 Business Register No.: PO - 534385
Via Filicaia 26 C, Prato, Italy
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Table of contents

Introduction 03
Identifying risk areas for Rifò 03
Inside-Out Perspective 04
Outside-In Perspective 05
Assessment of the severity and prioritization of identified risks 05
Rifò's approach to risk management 08
Monitoring and review of risks 09
Final note 09

Introduction

With this document, Rifò aims to catalog and organize the risks it faces in conjunction with its efforts regarding environmental, social, and governance impact.

Since its inception, Rifò has positioned itself as a reality bringing a revolutionary message to the fashion world, with the goal of promoting a production and consumption model that is different—more conscious and sustainable—than that driven by fast fashion and fast luxury.

From this perspective, Rifò's mission is to create a line of clothing and accessories of high quality with regenerated and regenerable fibers, entirely produced in the textile district of Prato.

The key value guiding Rifò's business is circularity, which for us means:

• **Quality** - Because we want our garments to last over time, and to make this possible we oversee every stage of production, relying on artisans and small local businesses.

• **Sustainability** - Thanks to the reduced environmental impacts related to regenerated fibers (79% in 2024), which are the core of our collections; to local production and to the choice of producing only what is needed through pre-orders.

• **Responsibility** - Rifò wants to have a positive impact not only on the environment, but also on society. For this reason, for every purchase made on our website we donate 1% of our revenues to Nei Nostri Panni, a social impact project that combines social integration with the preservation of a craft. Together with other partners and local companies, we fund paid training in the textile sector, aimed at people in vulnerable situations.

Alongside Rifò's commitment, several risks have also been identified, which will be discussed in the following pages.

Given the relevance of the topic, our company must then engage with and align to a series of Italian and European regulations, the impact of which will be analyzed in this document.

Identifying risk areas for Rifò

The acronym "ESG" includes and represents the three English words environmental, social, and governance. It is often used in an attributive function. In this document as well, we address ESG risks, meaning those risks linked to environmental, social, and regulatory factors that, in particular, could threaten our business.

Within these three macro-categories, more specific areas have been identified, each directly tied to the risks we have identified.

Please note that the risks listed below were identified following an analysis that adopted the concept of "double materiality." This means that not only risks caused by exogenous factors were examined, but also those that may possibly be caused by Rifò's own activity.

Inside-Out Perspective

Linked to the tasks carried out by our company, the following risk areas and their causes have emerged:

Environmental, such as:

- Climate change, caused by:
  - -CO_2 emissions, both at the production stage and during the shipping of Rifò products;
- Natural resource consumption, specifically:
  - -Water use, related to the cultivation and sourcing of raw materials used in production processes;
  - -Impact on biodiversity, related to the cultivation and sourcing of raw materials;
  - -Deforestation;
- Pollution and waste, which can be divided into:
  - -Emissions of gases, liquids, or other toxic materials, both in the sourcing of raw and secondary materials, and in the production and shipping of our products;
  - -Waste, so-called "pre-consumer" waste, created along the product supply chain;
  - -Packaging used during shipping;
  - -Proper end-of-life management of products placed on the market ("post-consumer" textile waste), in accordance with EPR regulations;
- Reliability of documents shared by suppliers regarding the materials purchased and used to make our garments:
  - -The truthfulness of environmental certifications;
  - -The accuracy of technical information, such as composition and origin;
  - -The reliability of the Life Cycle Assessment (LCA).
- Compliance with requirements on the single-material composition of post-consumer textile waste directly collected through circular services.

Social, such as:

- Human capital management, which entails the risk of:
  - -Poor management of relationships with Rifò employees and of their roles;
  - -Poor management of relationships with actors in the supply chain of raw (and secondary) materials;
  - -Poor management of relationships with actors in the production chain of our finished goods;
  - -Poor management of relationships with Rifò retailers;
  - -Neglect of health and safety for Rifò collaborators;
- Violation of labor standards along the production chain;
- Responsibility for products placed on the market, namely:
  - -Misalignment with product health and safety standards;
  - -Possible use of toxic chemical agents.

Governmental such as:

- Company behavior, namely:
  - -The company's ethics in terms of corruption, bribery, and tax evasion;
- Compliance with agreements signed by project partners, particularly regarding circular services .

Outside-In Perspective

Stemming from the impact of external themes or events on the company, the following risks and their causes have been identified:

Environmental, such us:
- Costs of adapting to climate change;
- Variations in recycling and energy costs.

Social, such us:
- Generational turnover and the loss of crafts linked to local traditions.

Governmental, such us:
- Changes in the availability and prices of raw materials;
- Regulatory changes.

Assessment of the severity and prioritization of identified risks

Once the risks identified in the previous section were defined, the analysis continued with an evaluation of their severity and the definition of a priority order to address them in the most appropriate timeframe and manner.

The variables considered in assessing the degree of severity (quantified on a scale from 1 to 5, with 1 being high severity and 5 being low severity) are:

- **The level of compensation required for environmental damage in economic terms;**
- **The negative impact on the brand's image in economic terms**
- **The employee turnover rate;**
- **The loss of clients from strategic sectors of our reference market**
- **Expenses related to fines and/or potential legal proceedings.**

The obtained severity level was then multiplied by the probability (expressed as a numerical value from 1, high probability, to 5, low probability) that Rifò would actually face such a situation.

In this way, each risk is assigned a priority level. The higher the priority, the closer the assigned numerical value is to 1.

In the following tables, the risks faced by Rifò are listed, divided by reference area (Environmental, Social, or Governmental).

Environmental risks, sorted by decreasing priority:

Risk Category	Risk Name	Severity	Probability	Priority
	Inside-Out			
Environmental	Accuracy of environmental certifications related to materials	1	1	1
Environmental	Accuracy of technical information related to materials	1	1	1
Environmental	Reliability of Life Cycle Assessment (LCA) related to materials	1	1	1
Environmental	CO_2 emissions	1	3	3
Environmental	Impact on biodiversity	1	3	3
Environmental	End-of-life products, so-called "post-consumer" textile waste	1	3	3
Environmental	Water consumption	1	4	4
Environmental	Reliability of participants in circular services managed by Rifò	2	2	4
Environmental	Deforestation	1	4	4
Environmental	Emissions of gases, liquids or other toxic materials	4	1	4
Environmental	Packaging	2	4	8
Environmental	Waste, so-called "pre-consumer" waste	2	5	10
	Outside-In			
Environmental	Costs of adapting to climate change	1	2	2
Environmental	Variation in recycling and energy costs	3	2	6

Social risks, sorted by priority:

Risk Category	Risk Name	Severity	Probability	Priority
	Inside-Out			
Social	Violation of labor standards along the production chain	1	2	2
Social	Poor management of relationships with actors in the supply chain of raw (and secondary) materials	2	3	6
Social	Poor management of relationships with actors in the production chain of our finished goods	2	3	6
Social	Poor management of relationships with Rifò retailers	2	3	6
Social	Poor management of relationships with Rifò employees	2	4	8
Social	Neglect of health and safety for Rifò collaborators	2	4	8

Social	Possible use of toxic chemical agents	2	5	10
Social	Misalignment with product health and safety standards	3	5	10
	Outside-In			
Social	Generational turnover and the loss of crafts linked to local traditions	2	2	4

Governance risks, sorted by priority:

Risk Category	Risk Name	Severity	Probability	Priority
	Inside-Out			
Governance	Compliance with agreements signed by project partners	2	2	4
Governance	Company ethics in terms of corruption, bribery, and tax evasion	2	5	10
	Outside-In			
Governance	Regulatory changes	2	1	2
Governance	Changes in the availability and prices of raw materials	2	2	4

Rifò's approach to risk management

For Rifò, environmental, social, and governance risks are considered equally relevant. As shown in the previous section, there is, however, a transversal prioritization that highlights the most urgent and potentially problematic nature of certain identified risks.

In this document, we present the specific responses to the risks that were assigned a priority level between 1 and 3.

For all other risks, it should be noted that Rifò's approach is to implement containment policies, identifying the necessary actions to reduce the probability or severity of their impact should they occur. This choice stems from the impossibility of transferring the responsibilities associated with the risk to third parties or of eliminating its effects entirely.

Risk Category	Risk Name	Intervention Strategy
Inside-Out		
Environmental	Accuracy of environmental certifications	• Verify the authenticity of documents shared by suppliers and examine their content • Establish direct dialogue and collaboration with suppliers
Environmental	Accuracy of technical information related to materials	
Environmental	Reliability of Life Cycle Assessment (LCA) related to materials	
Environmental	CO_2 emissions	• Monitor and track energy consumption of company and production lines • Produce only what is needed, avoiding overproduction and overconsumption
Environmental	Impact on biodiversity	
Environmental	Proper end-of-life management of marketed products	• Inform customers on how to direct used garments towards repair, reuse, or regeneration when dismissed
Social	Violation of labor standards along the production chain	• Periodically visit suppliers • Monitor social sustainability of the supply chain via a certification body
Outside-In		
Environmental	Costs of adapting to climate change	• Expand the product offer to cover all seasons evenly • Consider short-term climatic conditions as a variable in production planning
Governance	Regulatory changes	• Ongoing updates on regulatory context • Anticipate regulatory changes at the organizational level

Monitoring and review of risks

The company is aware of the need to keep monitoring the risks to which it is exposed, both to adapt its responses to identified risks and to detect new critical points.

In particular, Rifò has decided to invest in making the sustainable and responsible work of all actors in its supply chain public and transparent. From this document, it is clear that the company is required to rely on the compliance of its partners with environmental and labor standards. The trust required by such close collaboration is offered calmly, but also with awareness. For this reason, the company is organizing itself in this area to ensure two types of periodic controls:

- Every six months, the sustainability and production managers will meet with suppliers to ensure compliance with the standards discussed and agreed upon at the beginning and throughout the collaboration
- Every week, a production manager (referred to as the "sentinel") will visit the suppliers, maintaining direct contact with the sustainability manager. The sentinel will be ready to report any suspected non-compliance, prompting immediate intervention.

In addition to these internal measures, since 2022, Bureau Veritas has been involved.
As of 2024, 45% of key suppliers have undergone audits, with the goal of reaching 100% by 2025.
Meanwhile, internal controls have been improved by introducing stricter environmental and social performance indicators, with particular attention to reducing CO_2 emissions (Scope 1, 2 and 3), measuring the gender pay gap, and strengthening corporate welfare policies.

In 2025, the WFTO certification process will begin, and the commitment to obtain GRS certification for all materials and the entire production chain will be completed.

Final note

This document has highlighted the highest risk areas for Rifò, revealing how many of the challenges faced by the company stem directly from the nature of its market positioning. Since Rifò's target market is still relatively new, it shows less stability and regulation, which can lead to unexpected and entirely new risks. Moreover, the role of coordinator of an external production chain places Rifò in front of risks that sometimes fall outside its control, increasing the complexity of resolution actions.

However, it has been emphasized that Rifò has shown a remarkable ability to anticipate and prevent many of these risks, and the highly innovative nature of its business is characterized by responsiveness and promptness in facing the effects of any risks that may occur.

The conscious choice to face a certain number of potentially dangerous uncertainties is rooted in the company's belief that the circular economy—a fundamental goal of Rifò—cannot be realized in isolation. Trust in partners, who may be both collaborators and consumers, remains an essential requirement for pursuing its business and economic model.